Making small-parcel exports work

CaseQuest USME DTU | Team IdeaForge | Harsh Kawatra and Dayita Arora

Research date: 28 October 2026. **Audience:** DPIIT and the 2026 Inter-Ministerial Committee on E-Commerce Exports. **Status:** Policy proposal and evidence review. No primary interviews, commercial agreements or pilot results have been claimed.

1. Executive recommendation

DPIIT should convene a Cluster Export Compact around existing export rules and services. The compact would give small producers local help choosing among postal, courier and exporter-on-record routes; obtain transparent, comparable commercial service terms; and measure whether this help improves seller economics without weakening customs and tax controls. Local assistance and commercial accountability are the proposed increments. India's government has already removed the courier value cap, broadened eligible export benefits, introduced risk-based courier returns, and enabled registered exporters-on-record for inventory-based e-commerce exports [P04, P05, P06, P10]. Re-announcing those reforms would not solve the case.

The committee should authorise a controlled, six-cluster pilot only after local operating partners, legal process owners and budget authority are verified. A group-level early-access comparison can estimate changes in administrative time, controllable export cost and repeat exporting. Customs and tax integrity require a separate audit sample; a small pilot cannot establish a national fraud rate.

The first decision is an assisted route-choice and procurement pilot. The second decision, after observation, is whether to scale, revise or close it. The proposal is conditional on measurable seller benefit after service fees and no material deterioration in integrity indicators.

2. Case coverage

Case requirement	Decision answer	Research location	Deck destination
Market access	Compare direct marketplace, postal, courier and registered EOR routes by product and destination	Sections 5, 8, 11	Core 1
Seller bargaining	Non-exclusive provider panel, transparent fee schedules, seller-held records, grievance process	Sections 8, 13	Core 1
Shipping cost	Compare eligible products and all-in lane cost; test pooled collection at actual volume	Sections 9, 19	Core 1
Returns cost	Separate Indian export returns, overseas recovery and unrelated import RTO	Sections 10, 14	Core 1 and 2
Simpler process	Assist with applicable route-specific filings using existing identifiers and consent	Sections 6, 13	Core 2
Customs and tax	Maintain officer authority, shipment traceability, benefit neutralisation and independent sampling	Sections 7, 14, 15	Core 2
Stakeholder alignment	Written roles, reciprocal service commitments, escalation and audit	Section 16	Core 3
Local pilot	Six candidate clusters, early and later access, explicit outcome measures	Sections 17, 18, 20	Core 3

Case requirement	Decision answer	Research location	Deck destination
Assumptions	Distinguish verified facts from proposed values and targets	Sections 19, 24	Appendix

The case names artisans, weavers, women, first-generation producers, Jaipur, Moradabad and Varanasi. These are design constraints, not evidence that a particular service provider has agreed to operate in those places [C].

3. The problem that remains after the 2026 reforms

The brief describes a first-time exporter facing registrations, invoices, declarations, route-specific processes, high parcel rates and expensive returns [C]. Its core trade-off is legitimate: indiscriminate relief could weaken customs checks or revenue protection. Yet the case's policy setting has moved. Since the brief was drafted, several relevant provisions have taken effect. The remaining question is whether a low-volume seller can understand and use them on fair commercial terms.

The measurable unit is a shipment, not an abstract exporter. A seller chooses a product, destination, price, route and service provider. Each choice changes eligibility, fees, delivery risk and possible return recovery. A successful pilot should make this choice easier and cheaper where evidence supports it, and refuse a route where the product is restricted or economics are negative.

4. Current policy baseline

Date	Existing measure	What it does	What it does not establish
12 Sep 2024	Eligible courier exports gain Duty Drawback, RoDTEP and RoSCTL	Allows specified benefits through the prescribed customs workflow	Universal benefit for every shipment [P02, P03]
15 Jan 2026	Eligible electronic postal exports gain the same categories of benefits	Expands potential route choice	That manual postal filings qualify [P04]
1 Apr 2026	₹10 lakh courier export consignment cap removed	Removes a value ceiling	Product exportability or simple documentation [P05, P06]
1 Apr 2026	Risk-based courier re-import treatment and ECCS Return Module	Addresses returned or rejected exported goods	Unconditional duty-free entry [P06, P07]
5 Aug 2026	Inventory-based cross-border export framework	Permits a registered exporter-on-record, or EOR, to procure from sellers-on-record against confirmed overseas orders and handle export and destination compliance	Universal availability or fair terms in every cluster [P10]
1 Oct 2026	New FEMA export/import regulations commence	Replaces the prior export regulation prospectively	A verified specific settlement timeline in this report [P11]

The August EOR framework already provides for digital inventory segregation, seller payment, visibility into order status, benefit pass-through, returns and annual certification. The compact therefore cannot claim to create the EOR model. Its testable contribution is comparison among routes, practical uptake, non-exclusive seller choice and enforcement of commercial transparency [P10].

ECEHs, Districts as Export Hubs, Dak Ghar Niryat Kendras and Trade Connect also predate this proposal. Their announced existence does not show operating capacity in each proposed pilot cluster [P09, P12, R4-S01].

5. Seller segments and product fit

The pilot should recruit by product and route suitability, then record whether participants are women-led, first-time exporters or home-based producers. This avoids assuming all artisans face the same cost structure. Six archetypes provide a useful comparison: light textiles, non-fragile crafts, bulky home décor, fragile décor, imitation jewellery and permitted leather accessories. Precious jewellery, wildlife-derived material, regulated products and restricted goods need

separate legal checks.

Product archetype	Primary economic pressure	Primary compliance check	Pilot learning
Light textile	Platform fee and destination tax	Labelling and product classification	Whether low weight supports postal export
Metal craft	Weight and protective packing	Material and classification	Whether pooled collection offsets weight
Silk accessory	Value and seller documentation	Origin and product claims	Whether assisted filing helps weavers
Bulky décor	Volumetric freight	Dimensions and breakage handling	Where pooling stops helping
Imitation jewellery	Returns and product description	Classification and destination rules	Whether benefits outweigh complexity
Leather accessory	Product and material restrictions	Permitted material and destination standards	Whether route eligibility narrows choice

These are analytical segments. No representative return rate, order volume or willingness-to-pay observation has been established for them.

6. Postal, courier and EOR journeys

India Post describes electronic PBE-3 filing for e-commerce exports through its Dak Ghar Niryat Kendra portal, with applicable IEC, GSTIN and AD-code documentation. PBE-4 serves a different non-e-commerce category. Courier declarations use authorised couriers and ECCS processes; specified benefit claims use their required customs processing route. The registered EOR exports in its own name and takes the responsibilities in its governing framework [P03, P08, P10].

Step	Direct postal/courier seller	EOR route	Proposed desk
Product and destination check	Seller remains responsible	EOR assumes prescribed export and destination duties	Explain route eligibility; record uncertainty
Order and price	Seller contracts with buyer/platform	EOR buys against confirmed overseas order	Show comparable net receipts and charges
Export filing	Route-specific authorised filing	EOR exports in its own name	Help assemble records; no legal waiver
Shipment	Postal or courier operator	EOR fulfilment chain	Compare available quotes and service levels
Return	Seller and agent document lawful treatment	EOR follows framework and contract	Link original shipment to outcome
Settlement	Seller and AD bank reconcile proceeds	EOR pays SOR on prescribed terms	Track status, query gaps and escalate

One universal form or government portal is not assumed. Any reuse of seller information requires lawful consent and system-level feasibility review.

7. Regulatory inventory and incremental change

Existing provision	Remaining friction to test	Incremental compact action	Competent actor
Courier cap removed	Route and documentation choice	Assisted comparison and filing	Local desk, authorised courier
Eligible courier/postal benefits	Eligibility and cross-system tracking	Benefit checklist and reconciliation support	CBIC, DoP, operator

Existing provision	Remaining friction to test	Incremental compact action	Competent actor
Risk-based courier returns	Evidence pack and recovery cost	Original-shipment and return reference matching	Customs, courier, seller or EOR
DNK electronic postal filings	Local access and training	Multilingual support with measured service levels	DoP and local operator
EOR framework	Practical access and seller bargaining	Transparent EOR terms beside direct-export alternatives	EOR and DGFT within their roles
District and ECEH initiatives	Actual location and capacity	Use verified facilities; publish pilot outcomes	DGFT and local institutions

The proposal does not assign DPIIT power to alter customs, foreign-exchange or tax rules. Each agency retains its statutory role. A detailed RBI settlement statement must await reading the primary current regulation [P11].

8. Platform access and bargaining

Platform access has three distinct hurdles: an eligible seller account, a listing that can reach a buyer, and an order whose net proceeds remain attractive after fees. Amazon Global Selling's US pricing shows $0.99 per item for an Individual plan or $39.99 per month for a Professional plan, with category-dependent referral and fulfilment charges. Its UAE pricing currently advertises a limited-time zero-subscription offer. These are examples of fee variation, not a national average or a commitment to this pilot [R2-01, R2-02].

The compact should publish provider charges, compare route quotations and prohibit exclusive access to enrolled sellers. Sellers should retain their own transaction records and have an account suspension and payment dispute path. Shared procurement concerns collection, packing, logistics and support services; sellers must set their own product prices. No provider has signed a rate or partnership for this proposal.

eBay International Shipping is not an Indian-seller precedent: its cited programme is restricted to US sellers and US-located items [R2-04]. Avoid importing foreign programme terms into the Indian business case.

9. Shipping economics

An official India Post calculator query for a 250 g Delhi-to-US shipment returned ₹638 for an eligible International Tracked Packet and ₹1,127 for an International Parcel when checked on 28 October 2026 [R2-03]. The first service is relevant only if the merchandise, destination, dimensions and booking conditions qualify. The calculator's lower printed-papers rate cannot price ordinary commercial merchandise. These quotes need a fresh check at deck freeze.

Compare like for like: origin, destination, product, weight, volumetric weight, insurance, tracking, taxes, delivery service and permitted contents. The compact's pooling benefit equals the unpooled service bill less pooled price, collection overhead, handling, inventory holding and delay cost. Without a provider quote, a pooled discount is an assumption. The model should show the order volume at which the net saving turns positive.

10. Returns: five decisions, not one blanket exemption

An Indian export returned by an overseas buyer can invoke the risk-based courier re-import pathway subject to evidence and neutralisation of export benefits. An uncleared import in an Indian courier terminal follows a separate return-to-origin process after more than fifteen days and other conditions. EOR-rejected inventory follows the EOR framework's prescribed re-export, seller return or disposal options [P06, P10].

The economic decision compares physical return, lawful overseas resale, refund without return, and loss or damage. Each outcome has a separate probability, reverse freight, refund, recoverable value and tax adjustment. A parcel should appear in only one terminal outcome. The seller and EOR contracts must identify who pays when a customer changes their mind and when a parcel is damaged.

11. Destination-market constraints

Destination	Verified relevant rule	Decision implication
United States	Low-value goods generally lost the former $800 duty-free de minimis treatment from 29 Aug 2025 [R3-01]	Price current duties and entry fees by product and route
European Union	Temporary €3 duty applies from 1 Jul 2026 to relevant low-value consignments per distinct tariff category [R3-02]	Count categories; do not add an unfinalised handling fee
Great Britain	For qualifying goods at £135 or less, VAT responsibility differs between direct and online-marketplace sales [R3-04]	Distinguish seller and marketplace collection
UAE	VAT applies to imports, with payment method affected by recipient registration [R3-05]	Identify importer and payer before assigning cost

Do not infer a numeric destination duty for a product without its classification, country detail and current tariff. IOSS is a VAT collection mechanism; it does not automatically remove the EU's distinct small-parcel duty [R3-03]. The comparison therefore includes a field for who bears each charge and who remits it.

12. Policy options

Five alternatives should be compared on seller economics (25%), integrity (25%), feasibility (20%), inclusion and bargaining (15%), and fiscal sustainability (15%). These weights are team judgement. Hard legal and authority checks precede scoring.

Option	Likely strength	Binding concern to test
Existing schemes plus outreach	Low incremental cost	Does advice change shipment economics?
New government marketplace	Direct public control	Duplication, procurement and adoption burden
Broad freight subsidy	Immediate price relief	Fiscal cost, targeting and durability
Single-platform EOR partnership	Integrated service	Seller dependence and excluded product/platform routes
Cluster Export Compact	Choice, local help, measurement	Coordination cost and uncertain pooled savings

Score only after comparable evidence and model outputs exist. An alternative that performs better under equal weights or reasonable weight shifts should replace the initial recommendation.

13. Cluster Export Compact operating model

A local desk begins with a product and destination eligibility check. It then presents the seller with comparable net proceeds for direct postal, courier and eligible EOR options. It supports authorised documentation, tracks shipment and payment status, and helps close returns or discrepancies. The desk must disclose providers' charges, not steer every seller toward one platform.

At launch the compact should require: written agency responsibilities, a standard seller consent record, a provider fee schedule, common service-level definitions, a complaints route, and records that link order, invoice, shipment, benefit, payment and return. System integration is conditional on technical and legal approval. The local desk cannot grant customs release.

14. Customs and revenue integrity

Use three proposed operational categories: routine eligible, document clarification and specialist review. These are workflow labels, not current customs risk categories. A traceable record should tie seller identity to order, declared product, value, quantity, weight, route, customs reference, benefit claim, payment and return. Customs officers keep examination and release authority.

Potential flags include duplicate invoice or benefit references, implausible value or weight, product restrictions, anomalous repeat returns and unsettled payments. A flag should lead to review, not an automatic sanction. Combine targeted checks with a separately sampled assurance stream. New exporters should not be treated as inherently suspect.

The integrity measures are confirmed non-compliance in an independently sampled shipment set, unclosed benefit reversals and unresolved payment records. A small pilot may be too weak to estimate rare misuse; report sample size and confidence interval.

15. Data, privacy and audit

The desk should request only information needed to advise and support an authorised route. Seller consent should name the recipient and purpose for each proposed data transfer. Access controls separate platform commercial information from public authority records. Preserve an audit trail of changes to declared value, product, beneficiary and return status.

A proposed score should never become a hidden decision right. The seller needs a correction and appeal channel, and government officers need a way to see the underlying evidence. Exact data retention periods require a legal review before system procurement.

16. Governance and stakeholder agreement

Actor	Proposed commitment	Written pre-launch check
DPIIT	Convene and monitor outcomes	Mandate and budget authority
DGFT and district committees	Export facilitation and local issue resolution	Regional capacity and roles
CBIC	Customs controls and interpretation	Officer authority and approved process
Department of Posts	Postal access and service reporting	Centre, route and rate availability
AD banks	Payment reconciliation	Current applicable workflow
Platforms and EORs	Transparent terms and seller visibility	Contract and data rights
Carriers	Quotes, tracking and returns service	Coverage and written service levels
Seller bodies	Recruitment feedback and grievance representation	Independence and consent
Evaluator	Baseline and outcome audit	Independence and publication terms

The compact is a proposed agreement. None of the institutions has committed to it.

17. Regional pilot portfolio

Candidate	Product	Reason for inclusion	Required local verification
Jaipur	Handicrafts	Town of Export Excellence [R4-S06]	Desk, eligible sellers, provider capacity
Moradabad	Metal craft	DGFT district product mapping [R4-S07]	Weight, packing and return economics
Varanasi	Silk accessories	DGFT district mapping [R4-S07]	Producer groups, home-based access
Tiruppur	Knitwear	Established district textile exports [R4-S08]	Distinguish mature from first-time exporters
Kachchh	Embroidery	District mapping and GI record [R4-S07, R4-S10]	GI use, collection distance, seller representation
Agartala	Bamboo/cane craft	Town of Export Excellence [R4-S06]	Product eligibility and collection network

These are candidate test sites. Existing ECEH approvals concern NCR, Bengaluru and Mumbai; they do not prove an operating ECEH in any of these six locations [R4-S01, R4-S02].

18. Pilot operations and inclusion

The proposed design enrolls 1,200 sellers, 200 in each of six clusters. Each cluster has ten operational groups of twenty. Five groups receive early access and five receive later access, yielding 600 early and 600 comparison sellers. Both retain access to existing public services. Baseline data include prior exporting, product, route, gender, business form and seller experience.

Recruitment through district bodies and producer organisations should use local-language information, accessible times and an independent complaint route. Record women-led and first-generation participation rather than asserting a quota has been achieved. The comparison group receives the same eventual service if the pilot proceeds.

Months 1 and 2 cover legal checks, partners, procurement and baseline. Months 3 to 8 operate the service. Month 9 is independent evaluation. Months 10 to 12 allow conditional expansion, redesign or closure. The timetable is a proposal, not an announced government schedule.

19. Economics, budget and scenarios

The model's unit is seller cohort by product, destination and route. Delivered contribution is retained receipts less product, packaging, freight, platform/payment/FX charges, seller-borne destination costs and compliance time. Expected contribution sums mutually exclusive delivered, returned, overseas-resold, refund-without-return and unrecoverable outcomes. Fixed charges are deducted once monthly. These formulas are design choices; modelled values must be generated, labelled and checked before citation.

The reproducible model's representative lane is an **illustrative eligible 250 g textile accessory from Delhi to the United States by post**. The ₹638 postal quote is the only observed unit-cost input. Its product eligibility, dimensions, date and origin must be rechecked before anyone uses the estimate for a real exporter [R2-03, M T01]. All sale prices, product costs, fee percentages, return probabilities, pooled discounts, compliance minutes and pilot costs are team assumptions. The model tests whether a feasible combination would improve economics; it does not measure the current market.

Scenario	Baseline expected contribution per dispatch	Proposed expected contribution	Difference	Interpretation
Downside	−₹507.55	−₹562.55	−₹55.00	Service fees deepen an already unviable lane
Base	₹460.50	₹570.35	+₹109.85	Improvement is conditional on 15% freight saving, shorter admin time and one point lower returns
Upside	₹1,074.37	₹1,275.00	+₹200.63	Stronger assumptions raise the result

These are model outputs, rounded for display [M T02, T03, T10]. The downside is decision-relevant: the compact must decline to pool on a lane where the service fee and collection expense exceed benefits.

The base freight bill falls from ₹638 to ₹542.30 under an **assumed** 15% discount. The proposed ₹30 service charge and ₹22 collection expense yield ₹43.70 of net pooling saving per order. With no freight discount the same fees turn pooling into a ₹52 cost [M T04, T07]. The base compliance-time assumption falls from forty to twenty minutes at an assumed ₹120 per hour, cutting booked administrative cost from ₹80 to ₹40. The assumed return rate falls from 10% to 9%. None of those changes is an observed programme outcome [M T01].

Budget lines are local desk staff, translation/training, provider procurement, data handling, audit, evaluation and contingency. Government spending, seller economic gain, provider resources and tax transfers should be separate accounts. The case provides no actual pilot budget, return rate, pooled discount or shipment volume. Downside, base and upside scenarios must state those assumptions explicitly. A negative result narrows the cohort; it must not be hidden.

The illustrative public budget is ₹96 lakh: ₹36 lakh for local desks, ₹12 lakh for training, ₹24 lakh for technology support, ₹12 lakh for evaluation and ₹12 lakh contingency [M T08]. It is an assumed design budget, not a sanctioned government allocation. The base adoption path assumes 360 active early-access sellers by month nine and 234 meeting the model's retention input, producing a calculated public cost of about ₹41,026 per retained early-access seller. The input retention definition still needs operational measurement and the denominator excludes later-access sellers. Thus the figure is a planning stress test, not an impact estimate [M T09].

20. Evaluation and scale gates

The three proposed operating targets are 20% lower controllable service cost, 50% less seller administrative time and 30% faster return resolution. They are targets, not forecasts. Controllable cost excludes product cost, taxes and unrelated expenses. Use median and 90th-percentile customs time, first shipment, ninety-day repeat exporting, net contribution per dispatched order, grievances, payment exceptions and integrity measures as supporting indicators.

Estimate changes against the later-access comparison groups where allocation and sample quality permit. A statistical-power calculation requires observed baseline variance and group correlation. If the integrity sample cannot rule out a material deterioration, defer scaling and continue measurement. Scale only when economic improvement persists after fees and public subsidy is identified separately.

21. Risks and reversibility

Risk	Trigger	Response	Owner
Provider capture	One operator receives most enrolled orders without a price advantage	Open comparable procurement and publish route shares	DPIIT/local operator
Weak adoption	Few sellers complete a first shipment	Diagnose by product, route and documentation step	District desk
No freight saving	Collection overhead exceeds discount	Stop pooling on that lane	Logistics lead
Return losses	Recovery costs exceed expected value	Compare lawful recovery options at order level	Seller/EOR
Customs anomaly	Higher confirmed misuse or missing records	Pause affected route and audit	CBIC
Data leakage	Unauthorised seller or buyer information access	Restrict access, investigate and notify as required	Operator
Fiscal drift	Cost per retained exporter exceeds limit	Freeze expansion and renegotiate services	DPIIT

The pilot remains reversible: discontinue a desk contract, retain statutory processes and preserve seller access to existing public routes.

22. Implementation and decisions

The committee's first authorisation should cover a time-limited pilot mandate, named agency contacts, a legal review, baseline study and open service procurement. The launch decision follows verified provider coverage, appropriate customs interfaces, current RBI procedure and local seller recruitment. The month-nine decision uses independent results and disclosed uncertainty. There is no reason to procure a national portal before this test.

23. Questions judges should ask

What is new when EOR and returns reforms already exist? The proposal measures practical uptake and creates seller-facing route choice, comparative commercial terms and public outcome accountability. It does not recreate those legal tools.

Who is exporter of record? For direct export, the seller or applicable direct-export entity remains responsible under its route. In the August 2026 registered EOR framework, the EOR procures against confirmed overseas orders and exports in its own name [P10].

Does pooled shipping guarantee cheaper parcels? No. Collection and coordination costs may exceed any discount. The model tests a lane-specific break-even.

Do low-risk shipments bypass customs? No. Customs retains release and examination authority; the compact's categories support preparation and escalation.

Can a 1,200-seller trial prove tax integrity? It can measure records and sample selected shipments. Rare fraud may remain statistically unmeasurable without larger samples or longer observation.

Are the named clusters ready? They are candidates with verified product relevance, not confirmed agreements.

24. Slide crosswalk

Slide	Main claim	Supporting sections	Principal sources
Cover	Proposed compact spans sellers, services and regulators	1, 13, 16	C, P08, P10
Core 1	Economic viability requires route and cost choice	5, 8 to 12, 19	R2-01 to R2-04; R3-01 to R3-05
Core 2	Existing reforms need assisted execution and controls	4, 6, 7, 10, 14, 15	P03 to P11
Core 3	Six-cluster pilot tests benefits and integrity	16 to 22	R4-S01 to R4-S13, model
Appendix	Assumptions, sensitivity and sources	19, 20, bibliography	All
Thank-you	Restated committee decision	1, 22	No new evidence

Appendix A. Source register

• **C:** USME DTU CaseQuest brief, four-page PDF supplied in the working folder.

• **P02:** CBIC Notification 60/2024-Customs (N.T.), 12 September 2024. https://static.pib.gov.in/WriteReadData/specificdocs/documents/2024/sep/doc2024913394101.pdf

• **P03:** CBIC courier benefit modality, 13 September 2024. https://www.pib.gov.in/PressReleasePage.aspx?PRID=2054693&lang=2&reg=3

• **P04:** CBIC postal export benefits, effective 15 January 2026. https://www.pib.gov.in/PressReleasePage.aspx?PRID=2215141&lang=2&reg=48

• **P05:** DGFT Notification 67/2025-26, effective 1 April 2026. https://content.dgft.gov.in/Website/dgftprod/8057e3b6-4674-4659-8ca9-50527e497800/Notification%20-%2067%20-%20English.pdf

• **P06:** CBIC Circular 17/2026, 31 March 2026. https://static.pib.gov.in/WriteReadData/specificdocs/documents/2026/mar/doc2026331837101.pdf

• **P07:** ECCS advisory register. https://courier.cbic.gov.in/ECCS/advisory.jsp

• **P08:** India Post, commercial exports through postal channel. https://www.indiapost.gov.in/mail%26Parcel/mailproducts/internationalservices/exppostalchannel

• **P09:** Department of Commerce parliamentary reply, 21 July 2026. https://www.pib.gov.in/PressReleasePage.aspx?PRID=2287009&lang=1&reg=3

• **P10:** Department of Commerce, inventory-based export framework, 5 August 2026. https://www.pib.gov.in/PressReleseDetailm.aspx?PRID=2294775&lang=2&reg=48

• **P11:** RBI Gazette Notification FEMA 23(R)/2026-RB. https://egazette.gov.in/WriteReadData/2026/269352.pdf

• **P12:** ECEH and postal support parliamentary reply, 5 August 2025. https://www.pib.gov.in/PressReleaseIframePage.aspx?PRID=2152518&lang=2&reg=48

• **R2-01:** Amazon US seller pricing. https://sell.amazon.in/grow-your-business/amazon-global-selling/cost-to-sell-in-americas

• **R2-02:** Amazon Middle East seller pricing. https://sell.amazon.in/grow-your-business/amazon-global-selling/cost-to-sell-in-middle-east

• **R2-03:** India Post postage calculator, Delhi to US 250 g query, 28 October 2026. https://www.indiapost.gov.in/calculate-postage

• **R2-04:** eBay International Shipping eligibility. https://www.ebay.com/sellercenter/shipping/ebay-international-shipping

• **R3-01:** US CBP de minimis suspension. https://www.cbp.gov/sites/default/files/2025-08/factsheet_suspension_of_duty-free_de_minimis_treatment.pdf

• **R3-02:** European Commission low-value duty guidance. https://taxation-customs.ec.europa.eu/news/guidance-and-legal-text-temporary-flat-fee-low-value-imports-which-will-apply-until-1-july-2028-2026-06-08_en

• **R3-03:** European Commission IOSS information. https://taxation-customs.ec.europa.eu/taxation/vat/vat-directive/vat-exemptions/other-exemptions_en

• **R3-04:** HMRC overseas goods and marketplace VAT. https://www.gov.uk/guidance/vat-and-overseas-goods-sold-directly-to-customers-in-the-uk

• **R3-05:** UAE Federal Tax Authority import VAT FAQ. https://tax.gov.ae/en/faq.aspx

• **R4-S01:** Department of Commerce ECEH reply. https://www.pib.gov.in/PressReleaseIframePage.aspx?PRID=2152518&lang=2&reg=48

• **R4-S02:** Department of Commerce 2024 review. https://www.pib.gov.in/Pressreleaseshare.aspx?PRID=2088048&lang=2&reg=48

• **R4-S06:** Towns of Export Excellence list. https://www.pib.gov.in/Pressreleaseshare.aspx?PRID=1795643&lang=2&reg=3

• **R4-S07:** DGFT district product mapping. https://content.dgft.gov.in/Website/dgftprod/a667478a-d204-4d95-a71c-a58452e1c6d9/Note%20-%20Districts%20as%20Export%20Hubs%20Initiative.pdf

• **R4-S08:** Ministry of Textiles district export data. https://www.pib.gov.in/PressReleasePage.aspx?PRID=2297513&lang=1&reg=1

• **R4-S10:** Kutch Embroidery GI. https://search.ipindia.gov.in/GIRPublicSearch/Application/Details/103

Appendix B. Assumptions and unresolved checks

Pilot size, treatment allocation, timetable and performance targets are proposals. Negotiated freight discount, return rate, seller order volume, product cost, programme budget and adoption are unknown until verified or modelled as assumptions. Current RBI settlement details, the full EOR notification, ECCS operational advisories, local ECEH capacity, carrier contracts and cluster partners require final primary-document or local verification. No missing value should be recorded as zero.

Appendix C. Customer validation plan

Before expansion, interview producers in each cluster, including women and first-time sellers; relevant postal and courier operators; platform and EOR representatives; customs officers; AD banks; and district institutions. Record role, date, method, product and route. Ask each seller for actual orders, charge statements, documentation time and return outcomes. Seek written provider quotes and legal process review. Until those activities occur, describe them as planned validation.

Appendix D. Reproduced model tables

These are generated illustrative outputs. Inputs and formulae are in model/inputs.json and model/casequest_model.py. The postal quote is the only externally observed unit-cost input.

CaseQuest model tables

All economics are illustrative team assumptions except the cited postal quote. Pilot budget is a proposed estimate, not sanctioned funding.

T01. Assumption register

Input	Downside	Base	Upside
sale	2600	3000	3400
product	1100	1000	950
pack	100	80	70
platform	0.15	0.12	0.1
payment_fx	0.04	0.03	0.025
seller_duty	180	0	0
minutes_before	50	40	35
minutes_after	35	20	15
hourly	140	120	100
freight_saving	0	0.15	0.25
service	50	30	25
collection	40	22	15
return_before	0.16	0.1	0.07
return_after	0.16	0.09	0.05
lost	0.02	0.01	0.005
reimport_share	0.7	0.55	0.4
resale_share	0.15	0.25	0.4
refund_no_return_share	0.15	0.2	0.2
reimport_cost	900	700	550
resale_recovery	0.5	0.7	0.8
fixed_monthly	500	300	200
orders_month	5	10	16
activation_m9	0.35	0.6	0.75

Input	Downside	Base	Upside
retention_m12	0.4	0.65	0.8

T02. Baseline economics

Scenario	Expected contribution ₹/order	Monthly ₹
downside	-507.55	-2537.73
base	460.5	4605.0
upside	1074.37	17189.87

T03. Proposed economics

Scenario	Expected contribution ₹/order	Monthly ₹
downside	-562.55	-3312.73
base	570.35	5403.5
upside	1275.0	20200.0

T04. Cost decomposition

Component	Before ₹	After ₹
product	1000	1000
packaging	80	80
freight	638	542.3
platform	360.0	360.0
payment_fx	90.0	90.0
seller_destination	0	0
compliance	80.0	40.0
service	0	30
collection	0	22

T05. Return decision tree

Outcome	Probability	Contribution ₹
delivered	0.9	835.7
reimported	0.0495	-2364.3
overseas_resale	0.0225	-184.3
refund_no_return	0.018	-2164.3
lost	0.01	-2164.3

T06. Monthly seller contribution

Scenario	Before ₹	After ₹	Change ₹
downside	-2537.73	-3312.73	-775.0
base	4605.0	5403.5	798.5
upside	17189.87	20200.0	3010.13

T07. Pooling threshold

Scenario	Freight saving ₹	Service + collection ₹	Net ₹
downside	0	90	-90
base	95.7	52	43.7
upside	159.5	40	119.5

T08. Pilot budget

Item	₹
local_desks	3600000
training	1200000
technology	2400000
evaluation	1200000
contingency	1200000
Total	9600000

T09. Monthly activation

Month	Active early sellers	Retained early sellers	Incremental contribution ₹
1	0	0	0.0
2	0	0	0.0
3	51	0	56023.5
4	103	0	113145.5
5	154	0	169169.0
6	206	0	226291.0
7	257	0	282314.5
8	309	0	339436.5
9	360	234	395460.0
10	360	234	395460.0
11	360	234	395460.0
12	360	234	395460.0

T10. Scenario summary

Scenario	Before ₹/order	After ₹/order	Change ₹/order
downside	-507.55	-562.55	-55.0
base	460.5	570.35	109.85
upside	1074.37	1275.0	200.63

T11. Freight sensitivity

Freight saving	Return rate	Expected contribution ₹	Pool saving ₹
0	0.05	579.25	-52
0	0.09	474.65	-52
0	0.16	291.6	-52
0.1	0.05	643.05	11.8
0.1	0.09	538.45	11.8
0.1	0.16	355.4	11.8
0.2	0.05	706.85	75.6
0.2	0.09	602.25	75.6
0.2	0.16	419.2	75.6
0.25	0.05	738.75	107.5
0.25	0.09	634.15	107.5
0.25	0.16	451.1	107.5

T12. Adoption and service cost

Active sellers	Service cost ₹/order	Expected contribution ₹	Budget per active ₹
150	50	550.35	64000.0
300	40	560.35	32000.0
600	30	570.35	16000.0
900	25	575.35	10666.67

T13. Fiscal and resource accounts

Account	Base ₹	Treatment
Government cash budget	9600000	Cost
Seller change/order	109.85	Private benefit estimate
Tax and subsidies	0	Transfer; not new resource benefit

T14. Option scoring inputs

Option	Status
Outreach only	Evidence review required
New central portal	Evidence review required
Broad shipping subsidy	Evidence review required
Single-platform partnership	Evidence review required
Cluster Export Compact	Working hypothesis, not automatically preferred

T15. Pilot KPI definitions

KPI	Target	Status
Controllable service cost	-20%	Proposed test target
Seller admin time	-50%	Proposed test target
Return resolution time	-30%	Proposed test target